Notes: Fuster & Vickery (RFS, 2015)

Securitization and the Fixed-Rate Mortgage

Contents

1 Big picture

- **Question.** Does access to liquid securitization markets affect the supply of long-term fixed-rate mortgages (FRMs)?
- **Motivation.** Long-term prepayable FRMs dominate the U.S. mortgage market, but this contract exposes lenders to interest-rate risk and prepayment risk. If lenders are unwilling or unable to hold those risks, the supply of FRMs should depend on whether lenders can securitize and sell the loans.
- **Main contrast.** The paper compares agency-eligible conforming mortgages with nonagency jumbo mortgages. Agency loans can be securitized through Fannie Mae and Freddie Mac. Jumbo loans above the conforming loan limit (CLL) must rely on private-label nonagency securitization or lender portfolio holding.
- **Key empirical shocks.** The paper studies periods when the nonagency mortgage-backed securities (MBS) market becomes illiquid: the 2007–2009 financial crisis and the earlier 1999–2000 nonagency liquidity episode after LTCM.
- **Identification.** The main identification comes from the CLL. Loans just above the limit are ineligible for agency securitization, while otherwise similar loans just below the limit are eligible. The paper uses both difference-in-differences around changes in the CLL and a fuzzy regression discontinuity around appraised home values near CLL/0.8.
- **Main result.** When the nonagency market is illiquid, jumbo borrowers are much less likely to receive long-term prepayable FRMs. The estimated decline is about 29 percentage points in 2007–2009 and about 27 percentage points in 1999–2000.
- **Normal-times result.** When agency and nonagency securitization markets are both liquid, the effect of jumbo status on the FRM share is small, around -3 percentage points.
- **RDD result.** In the liquid 2004–mid-2007 period, crossing the jumbo threshold sharply increases the probability of obtaining a jumbo loan but has almost no effect on FRM choice. This implies that private securitization can support FRM origination when private markets are functioning.
- **Interest-rate evidence.** After the nonagency MBS freeze in August 2007, jumbo-conforming mortgage spreads rise more for FRMs than for ARMs. This supports the interpretation that FRM supply contracts more than ARM supply when securitization liquidity disappears.
- **Takeaway.** The U.S. fixed-rate mortgage market depends strongly on securitization liquidity. Agency or liquid private securitization helps lenders transfer FRM duration and prepayment risk to investors, sustaining FRM supply.

2 Incremental contribution of the paper

2.1 Contribution relative to mortgage choice research

- Prior household finance research explains mortgage choice using borrower demand, relative interest rates, expectations about future rates, house-price expectations, and risk preferences.
- This paper shifts attention to the supply side: lenders' ability to fund and risk-manage different mortgage contracts.
- The main incremental insight is that FRM availability depends on the secondary market, not just on borrower demand or the level of interest rates.

Interpretation: The paper shows that mortgage contract choice cannot be understood solely as a household optimization problem. The menu of contracts offered to households changes when lenders lose access to securitization.

2.2 Contribution relative to securitization literature

- Much of the securitization literature focuses on credit risk, loan screening, moral hazard, or the boom in private-label securities.
- Fuster and Vickery emphasize a different role of securitization: transferring interest-rate and prepayment risk embedded in long-duration FRMs.
- They show that securitization can support a socially important mortgage contract even when the contract is not primarily about high credit risk.

Interpretation: The paper reframes securitization as a risk-management technology for lenders, not only as an originate-to-distribute technology for credit risk.

2.3 Contribution relative to debates about government guarantees

- Policy debates often ask whether government-sponsored enterprises are necessary to sustain the U.S. FRM market.
- The paper finds that private securitization can support FRMs when private markets are liquid.
- However, during private-market freezes, agency eligibility becomes crucial for maintaining FRM supply.

Interpretation: The incremental policy message is nuanced: government backing is not always necessary in normal times, but it provides resilience when private securitization markets freeze.

2.4 Contribution to empirical identification

- The paper uses the conforming loan limit as a sharp institutional boundary between agency and nonagency securitization eligibility.
- Because loan amount itself is endogenous, the authors exploit appraised home values near CLL/0.8, where many borrowers choose 80% loan-to-value mortgages.
- This lets them compare otherwise similar borrowers whose likelihood of agency eligibility changes sharply for institutional reasons.

Interpretation: The use of CLL/0.8 rather than the loan amount cutoff is a key empirical refinement. It mitigates the problem that borrowers manipulate loan size to remain conforming.

3 Data and measurement

3.1 Mortgage data

- The main data source is a large national loan-level mortgage dataset from LPS Applied Analytics.
- The sample focuses on purchase-money conventional mortgages.
- The paper studies loans originated between 1996 and 2009, with special emphasis on 1999–2000, 2004–mid-2007, and 2007–2009.
- The data record origination amount, appraised value, borrower FICO score, loan type, securitization or portfolio status, and mortgage contract characteristics.
- The authors also replicate main findings using the Monthly Interest Rate Survey from the Federal Housing Finance Agency.

Interpretation: The loan-level data allow the authors to observe both contract choice and whether the loan is retained in portfolio or securitized after origination.

3.2 Key mortgage contract outcomes

The main outcomes are:

- FRM30noPPP: indicator equal to one if the borrower selects a 30-year FRM without a prepayment penalty.
- FRM: indicator equal to one if the borrower selects any fixed-rate mortgage.
- Non_sec6: indicator equal to one if the loan is not securitized or sold within six months after origination.

Interpretation: FRM30noPPP is the cleanest measure of a long-duration, prepayable FRM. Non_sec6 measures whether the lender is forced to hold the loan's risks on balance sheet.

3.3 Conforming loan limits

- A mortgage is conforming if its size is at or below the CLL and satisfies other Fannie Mae/Freddie Mac criteria.
- Conforming loans can be purchased and securitized by Fannie Mae and Freddie Mac.
- Jumbo loans above the CLL cannot use the agency channel and must rely on private securitization or portfolio retention.
- The national CLL changes over time, and in 2008 the Economic Stimulus Act introduced higher temporary limits in high-cost counties.

Interpretation: The CLL generates quasi-experimental variation in access to agency securitization.

3.4 Nonagency securitization liquidity

- The paper defines a major nonagency market freeze starting in August 2007, when private-label jumbo securitization collapses.
- It also identifies a smaller illiquidity episode from July 1999 to June 2000, following the LTCM crisis.
- In normal periods, both agency and private-label securitization markets are liquid.

Interpretation: The same jumbo-conforming institutional boundary has different economic meaning across time: it matters most when the nonagency market is illiquid.

4 Empirical specifications

4.1 Difference-in-differences strategy

The DiD design compares mortgages around changes in the CLL. Consider an increase in the CLL between period t and $t+1$. Homes with appraised values just above $\mathrm{CLL}_t/0.8$ are more likely to generate jumbo loans in period t but become agency-eligible in period $t+1$.

The second-stage linear probability model can be written as

$$\Pr(Y_i = 1) = \beta_0 + \beta_1 \Pr(\widehat{Jumbo_i}) + \beta_2 I(Period_i = t) + \beta_3 I(Appraisal_i > \mathrm{CLL}_t/0.8) + \gamma' X_i + u_i. \quad (1)$$

The first stage is

$$\Pr(Jumbo_i) = \delta_0 + \delta_1 I(Period_i = t) \times I(Appraisal_i > \text{CLL}_t/0.8) + \delta_2 I(Period_i = t) + \delta_3 I(Appraisal_i > \text{CLL}_t/0.8) + \lambda' X_i + v_i. \tag{2}$$

- Y_i is FRM30noPPP, FRM, or Non_sec6.
- X_i includes FICO controls, condo, investor, and subprime indicators, interacted with calendar-year dummies in pooled regressions.
- Year-month dummies are included, and standard errors are clustered by state.

Interpretation: The first stage uses the fact that loans above $\text{CLL}_t/0.8$ before a CLL increase are more likely to be jumbo than comparable loans after the increase.

4.2 Fuzzy regression discontinuity design

The fuzzy RDD uses cross-sectional variation around the appraised value cutoff $c = \text{CLL}/0.8$. Borrowers with appraised values just above the cutoff are more likely to choose a jumbo mortgage, but the jump is not deterministic.

The Wald estimand is

$$\tau = \frac{\lim_{\epsilon \downarrow 0} E[Y \mid X = c + \epsilon] - \lim_{\epsilon \downarrow 0} E[Y \mid X = c - \epsilon]}{\lim_{\epsilon \downarrow 0} E[D \mid X = c + \epsilon] - \lim_{\epsilon \downarrow 0} E[D \mid X = c - \epsilon]}, \tag{3}$$

where D is jumbo status and Y is a mortgage contract outcome.

Interpretation: The RDD asks whether the discrete increase in jumbo probability at the appraisal cutoff changes the probability of choosing an FRM.

4.3 Interest-rate spread test

The paper estimates whether the market freeze affected jumbo FRM rates more than jumbo ARM rates:

$$r_{it}^{jumbo} - r_{it}^{conforming} = \beta_0 + \beta_1 FRM_i + \beta_2 Freeze_t + \alpha(FRM_i \times Freeze_t) + \varepsilon_{it}. \tag{4}$$

Interpretation: A positive α means the jumbo-conforming spread rises more for FRMs than ARMs after the nonagency freeze, consistent with a contraction in FRM supply.

5 Identification and empirical design

5.1 Core identifying assumption

The CLL changes the probability that a mortgage can be funded through agency securitization. Conditional on controls and local time effects, being close to the cutoff should not directly affect borrower preference for FRMs except through jumbo status and funding-channel access.

Interpretation: The key challenge is selection around the CLL. Borrowers can adjust down payments to remain conforming. This is why the authors use appraisal value rather than mortgage amount as the running variable.

5.2 Why appraised value is used

- Borrowers bunch just below the loan-size CLL by choosing loan amounts that keep the mortgage conforming.
- FICO scores also change discontinuously around the loan-size cutoff.

- Appraised home values are less directly manipulated to match the CLL.
- Since many borrowers choose LTV near 80%, CLL/0.8 creates a natural appraisal threshold for likely jumbo status.

Interpretation: Appraised value gives a cleaner source of quasi-random variation in jumbo eligibility than the loan amount itself.

5.3 Main threats and responses

- **Borrower selection:** addressed using appraisal-value instruments, FICO controls, and robustness to prime/non-subprime samples.
- **Market timing around CLL changes:** tested by excluding loans originated just after CLL increases.
- **Demand-side changes during the crisis:** addressed using house-price growth controls, interest-rate spread evidence, and time-series FRM share tests.
- **Lender distress:** mitigated by showing similar effects in the 1999–2000 illiquidity episode, not only during the 2007–2009 financial crisis.

Interpretation: The paper builds identification credibility by showing that the effect appears when private securitization is illiquid and largely disappears when both securitization channels are liquid.

6 Tables and figures

6.1 Table 1 and Figure 1: CLLs and securitization activity

Read:

- Table 1 lists the CLL for one-unit properties from 1996 to 2009 and the corresponding CLL/0.8 appraisal threshold.
- Figure 1 shows that jumbo private securitization and sale collapse during the 2007–2009 freeze and also weaken during 1999–2000.
- Nonjumbo agency securitization remains high and stable through the same periods.

Economic message: The supply shock is specific to the nonagency jumbo market. Agency securitization remains available, making conforming loans a useful control group.

Table 1
Conforming loan limits over sample period

Year	CLL (1 unit), in $	CLL/0.8
1996	207,000	258,750
1997	214,600	268,250
1998	227,150	283,938
1999	240,000	300,000
2000	252,700	315,875
2001	275,000	343,750
2002	300,700	375,875
2003	322,700	403,375
2004	333,700	417,125
2005	359,650	449,563
2006	417,000	521,250
2007	417,000	521,250
2008	417,000–729,750	521,250–911,563
2009	417,000–729,750	521,250–911,563

The CLL represents the maximum loan size that Fannie Mae and Freddie Mac are able to purchase and securitize. The table shows national CLL (up to 2008) for single-family homes; higher limits apply to mortgages on multifamily dwellings and homes in Alaska, Hawaii, Guam, and the U.S. Virgin Islands. Under the ESA passed in February 2008, CLLs were raised in counties with high average home prices, as explained in the main text. The CLL/0.8 column presents the threshold for a property's appraisal value such that properties below this threshold

Table 1: conforming loan limits

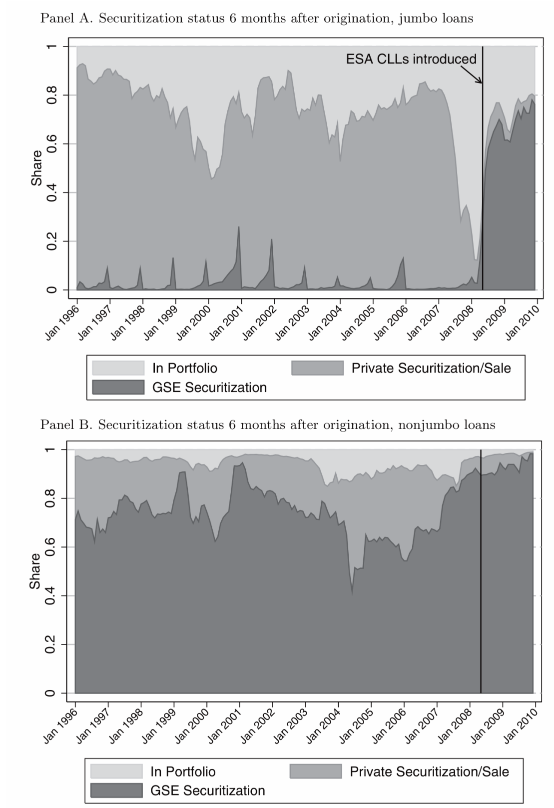

Figure 1
Securitization activity in jumbo and nonjumbo segment
Author calculations are based on LPS data. Purchase-money conventional mortgages only; shares are value-weighted. For graph, jumbo status is defined relative to national conforming limit. Thus, for 2008 and 2009, "superconforming" mortgages in high-home-price counties are included as part of the jumbo segment.

Figure 1: jumbo and nonjumbo securitization status

6.2 Figure 2: FRM market shares over time

Read:

- Panel A shows that the jumbo FRM share falls far below the conforming FRM share during nonagency illiquidity periods.
- Panel B shows that the conforming-minus-jumbo FRM gap widens sharply in 1999–2000 and 2007–2008.
- The gap narrows after higher ESA CLLs are introduced in 2008.

Economic message: The visual evidence suggests that FRM supply is sensitive to access to liquid securitization markets.

6.3 Figure 3: selection around the loan-size CLL

Read:

- Panel A plots the FRM30noPPP share by loan amount relative to the CLL.
- Panel B plots FICO scores by loan amount relative to the CLL.
- Both outcomes show visible selection around the loan-size threshold.

Economic message: Loan amount is endogenous. This justifies using appraised value near CLL/0.8 rather than loan amount near the CLL as the identifying threshold.

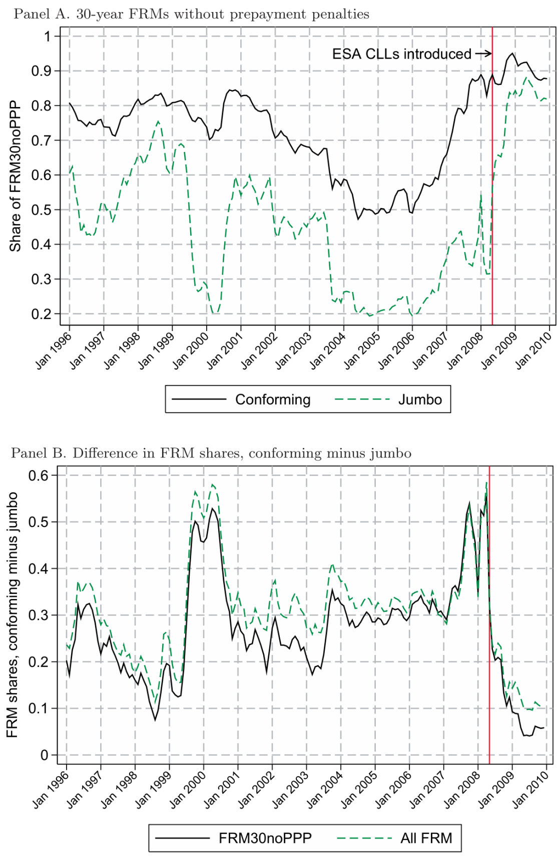

Figure 2
Market share of fixed-rate mortgages in jumbo and nonjumbo segment, 1996–2009
Author calculations are based on LPS data. Purchase-money conventional mortgages only; shares are value-weighted. For the graph, jumbo status is defined relative to national conforming limit. Thus, for 2008 and 2009, "superconforming" mortgages in high-home-price counties are included as part of the jumbo segment. The vertical line at May 2008 marks the effective date of the increase in loan limits above the national CLL in

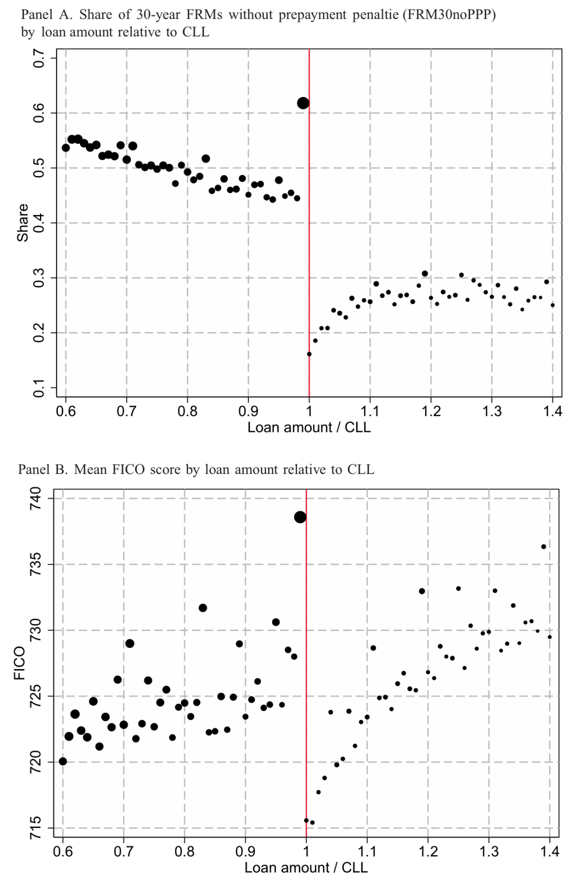

Figure 3
Selection around the conforming loan limit
Based on LPS data for purchase-money conventional mortgages originated between December 2003 and July 2007. Dots represent normalized loan amount bins of size 0.01; one means that loan amount is in (CLL, 1.01 ·

6.4 Table 2: difference-in-differences estimates

Read:

- In liquid periods, the estimated effect of jumbo status on FRM30noPPP is about -3 percentage points.
- During 2007–2008, the effect is about -29 percentage points for FRM30noPPP and -18 percentage points for all FRMs.
- During July 1999–June 2000, the effect is about -27 percentage points for FRM30noPPP and -23 percentage points for all FRMs.
- Jumbo loans are much more likely to be retained in portfolio during illiquidity episodes.

Economic message: When private securitization is unavailable, jumbo borrowers receive substantially fewer long-term prepayable FRMs.

Table 2
Difference-in-differences analysis

Second stage:	(1) Pr(FRM30noPPP)	(2) Pr(FRM)	(3) Pr(Non_sec6)
Nonagency market is liquid			
1996–2005 (excluding 7/1999–6/2000):			
Jumbo	−0.031***	−0.033***	0.079***
	(0.010)	(0.011)	(0.010)
N	1,622,638	1,622,638	1,054,360
Nonagency market is illiquid			
Aug 2007–Apr 2008:			
Jumbo	−0.287***	−0.182***	0.241***
	(0.054)	(0.044)	(0.032)
N	64,589	64,589	57,124
Jul 1999–Jun 2000:			
Jumbo	−0.269***	−0.232***	0.195***
	(0.050)	(0.050)	(0.038)
N	154,544	154,544	107,335
First stage (Pr(Jumbo)):	1996–2005	2007–2008	1999–2000
$(year_i = t)\times$	0.178***	0.062***	0.127***
$(appr_i > CLL_t/0.8)$	(0.034)	(0.008)	(0.017)

Standard errors (clustered at state level) are in parentheses.
$^{*}p<0.1$, $^{**}p<0.05$, and $^{***}p<0.01$.
This table shows the estimated treatment effect of being in the jumbo segment of the mortgage market on: the probability of obtaining a freely prepayable fixed-rate mortgage with term of 30 years or more (FRM30noPPP),

6.5 Figure 4 and Table 3: fuzzy regression discontinuity

Read:

- Figure 4 shows a sharp jump in the probability of selecting a jumbo mortgage at $Appraisal = \text{CLL}/0.8$.
- The same cutoff does not generate a discontinuous drop in FRM30noPPP or in all FRMs during 2004–mid-2007.
- Table 3 confirms this with fuzzy RDD estimates: jumbo status has essentially zero effect on FRM30noPPP and all FRM choice in the liquid pre-crisis period.

Economic message: Private securitization markets can support FRM origination in normal times. The problem is illiquidity, not jumbo status per se.

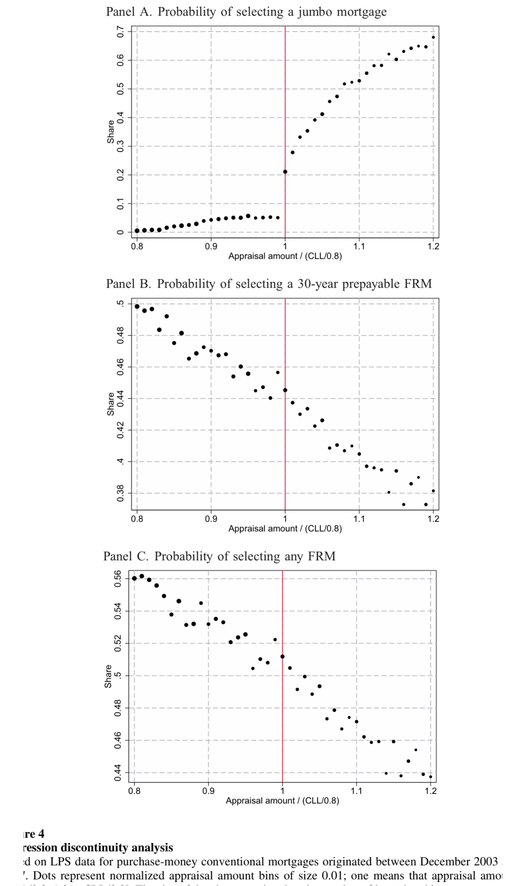

Figure 4: fuzzy RDD around appraisal threshold

Table 3
Fuzzy regression discontinuity design estimates

	FRM30noPPP	FRM	Non_sec6
Treatment effect of jumbo	0.000	0.017	0.024**
(Wald estimate)	(0.025)	(0.019)	(0.010)
Change in Pr(dep. var.)	0.000	0.003	0.004*
	(0.004)	(0.003)	(0.002)
Change in Pr(jumbo)	0.154***	0.154***	0.161***
	(0.045)	(0.045)	(0.048)
N	522,267	522,267	396,393

Standard errors (clustered at state level) are in parentheses.
* $p < 0.1$, ** $p < 0.05$, and *** $p < 0.01$.
This table shows the estimated treatment effect ("Wald estimate") of being in the jumbo segment of the mortgage market on the probability of obtaining a freely prepayable fixed-rate mortgage with term of 30 years or more (FRM30noPPP), the probability of obtaining any type of fixed-rate mortgage (FRM), and the probability of a loan being held in portfolio 6 months after origination (Non_sec6). The treatment effect is given by the ratio of the change in Pr(dependent variable) to the change in Pr(jumbo) around the appraisal threshold CLL/0.8 (see Equation (1)). Sample includes purchase-money conventional mortgages originated between December 2003

Table 3: RDD estimates

6.6 Figure 5 and Table 4: jumbo-conforming mortgage-rate spreads

Read:

- Figure 5 plots jumbo-conforming rate spreads for 30-year FRMs and 5/1 ARMs from August 2006 to April 2008.
- Both spreads rise after the August 2007 market freeze, but the FRM spread rises more.
- Table 4 estimates that the freeze raises the jumbo-conforming spread by an additional 29 basis points for FRMs relative to ARMs.

Economic message: Interest-rate evidence points to a supply contraction in jumbo FRMs when securitization freezes.

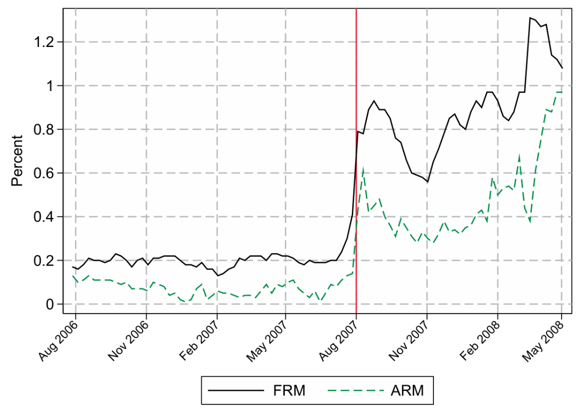

Figure 5
Jumbo-conforming interest rate spread for FRMs and ARMs
This figure shows the jumbo-conforming interest rate spread (i.e., the difference between offered rates to jumbo

Figure 5: jumbo-conforming spreads

Table 4
Interest rate differential between jumbo and conforming segment

	Jumbo-conforming spread (percent)
FRM	0.130***
	(0.007)
Market freeze period	0.390***
	(0.029)
FRM × market freeze	0.290***
	(0.043)
Constant	0.073***
	(0.005)
N	182

Robust standard errors are in parentheses.
* $p < 0.1$, ** $p < 0.05$, and *** $p < 0.01$.
The dependent variable is the interest rate spread between jumbo and conforming loans for either 30-year FRMs or 5/1 ARMs. The sample consists of weekly data of offered mortgage rates from August 2006 through April 2008, collected by HSH Associates. The "market freeze period" is from August 2007 to April 2008. Note that HSH reports average upfront fees and points for each loan type. These are not incorporated in the results presented in the table, although we have estimated an an alternative version of the regression in which we add a fraction of

Table 4: spread regression

6.7 Tables 5 and 6: robustness to borrower selection and housing booms

Read:

- Table 5 restricts the 2007–2008 DiD analysis to nonsubprime, well-documented, high-FICO borrowers.
- The estimated jumbo effects become even larger in prime/high-FICO subsamples.
- Table 6 shows that house-price growth does not explain the normal-times results.
- The treatment effect remains near zero in normal periods and differs little between high and low house-price-growth areas.

Economic message: The core findings are not driven by low-quality borrower selection or by house-price boom demand effects.

Table 5
Difference-in-differences analysis for nonagency MBS freeze in 2007–2008: Robustness checks

	(1) FRM30noPPP	(2) FRM	(3) Non_sec6
Baseline sample			
Jumbo	−0.287***	−0.182***	0.241***
	(0.054)	(0.044)	(0.032)
N	64,589	64,589	57,124
Nonsubprime, FICO>740, not marked as low/no-doc			
Jumbo	−0.458***	−0.239***	0.293***
	(0.082)	(0.063)	(0.064)
N	31,062	31,062	27,729
Nonsubprime, FICO>780			
Jumbo	−0.778***	−0.574***	0.326***
	(0.145)	(0.142)	(0.113)
N	17,745	17,745	15,816

Standard errors (clustered at state level) are in parentheses.
* $p < 0.1$, ** $p < 0.05$, and *** $p < 0.01$.

Table 5: robustness to credit quality

Table 6
Difference-in-differences analysis: Investigating the role of house price growth

	(1)	(2)	(3)	(4)	(5)
Sample	1996–1999 all	2002–2005 all	2002–2005 all	2002–2005 HPA>median	2002–2005 HPA≤median
Jumbo	0.031	−0.036**	−0.039*	−0.021*	−0.058**
	(0.090)	(0.017)	(0.020)	(0.012)	(0.026)
HP controls	N	N	Y	N	N
N	321,415	1,037,835	1,018,800	504,622	514,178
Share FRM30noPPP	0.73	0.47	0.47	0.38	0.55

Standard errors (clustered at state level) are in parentheses.
* $p < 0.1$, ** $p < 0.05$, and *** $p < 0.01$.
This table shows the estimated treatment effect of jumbo status on Pr(FRM30noPPP) under different sample restrictions. The sample includes purchase-money conventional mortgages with appraisal amounts in the range $[CLL_t/0.8 - \min(CLL_{t+1}/0.8 - CLL_t/0.8, 0.1 \cdot CLL_t/0.8), CLL_t/0.8 + \min(CLL_{t+1}/0.8 - CLL_t/0.8, 0.1 \cdot CLL_t/0.8)]$. Monthly county-level house price indexes (HPI) come from CoreLogic. The sample in Column (1) excludes July–November 1999 from the preperiod. House price controls in Column (3) are the 12-month moving average county-level median transaction price (in $), the maximum HPI level after Jan. 2002, and HPI

Table 6: house-price growth controls

6.8 Table 7: time-series demand controls

Read:

- Table 7 explains time-series variation in FRM shares using the Koijen, Van Hemert, and Van Nieuwerburgh rule-of-thumb demand variable.
- Treasury-rate rule-of-thumb variables explain a large part of conforming and jumbo FRM shares.
- Market freeze period indicators remain important for the jumbo segment and for the conforming-minus-jumbo difference.

Economic message: Demand-side time-series variation matters, but nonagency liquidity remains central for explaining the jumbo-conforming FRM share gap.

Table 7
Explaining time-series variation in FRM shares

	(1)	(2)	(3)	(4)	(5)	(6)
	Conforming		Jumbo		Conforming−Jumbo	
Treasury rates	-0.107^{***}	-0.094^{***}	-0.141^{***}	-0.129^{***}	0.034^{**}	0.035^{***}
rule-of-thumb	(0.010)	(0.010)	(0.017)	(0.015)	(0.017)	(0.010)
Market freeze		0.051^{***}		-0.187^{***}		0.238^{***}
periods		(0.017)		(0.027)		(0.023)
CLL expansion		0.122^{***}		0.230^{***}		-0.108^{**}
		(0.030)		(0.074)		(0.049)
Constant	0.812^{***}	0.780^{***}	0.574^{***}	0.560^{***}	0.238^{***}	0.220^{***}
	(0.018)	(0.017)	(0.037)	(0.026)	(0.033)	(0.020)
Adj. R^2	0.72	0.81	0.52	0.81	0.08	0.70
N	168	168	168	168	168	168

Newey-West (12 lags) standard errors are in parentheses.
$^{*} p<0.1$, $^{**} p<0.05$, and $^{***} p<0.01$.
This table presents a time-series regression model of the determinants of the value-weighted share of FRM30noPPP mortgages in the conforming segment (Columns 1 and 2), the jumbo segment (Columns 3 and 4), and the difference between the two segments (Columns 5 and 6). Explanatory variables include the Treasury rates rule-of-thumb variable of Koijen, Van Hemert, and Van Nieuwerburgh (2009), as well as indicators for

7 Short summary

- The paper studies whether securitization liquidity affects the supply of fixed-rate mortgages.
- The key institutional feature is the conforming loan limit, which determines access to agency securitization.
- Jumbo loans depend on private nonagency securitization or portfolio holding.
- When nonagency securitization freezes, jumbo borrowers receive far fewer long-term prepayable FRMs.
- When private securitization markets are liquid, jumbo status has little effect on FRM choice.
- Difference-in-differences estimates show large negative effects in 1999–2000 and 2007–2009.
- Fuzzy RDD estimates show little effect during 2004–mid-2007.
- Interest-rate data show that jumbo FRM spreads rise more than jumbo ARM spreads after the 2007 freeze.
- The evidence supports a supply-side risk-management channel: lenders are reluctant to retain the duration and prepayment risk of FRMs without securitization.

8 Conclusion

8.1 Core conclusion

Fuster and Vickery show that securitization liquidity is central to the supply of long-term fixed-rate mortgages. Agency or liquid private securitization allows lenders to transfer interest-rate and prepayment risk, supporting FRM origination. When the private nonagency market freezes, jumbo borrowers lose access to the same supply of FRMs.

8.2 Economic intuition

FRMs are risky for lenders because borrowers can prepay when interest rates fall and because the lender bears duration risk when rates rise. Securitization lets lenders sell or transfer these risks to investors. If securitization is unavailable, lenders either retain the risk or avoid originating such loans. The paper shows that they avoid originating many of them.

8.3 Policy takeaway

The results imply that housing finance reform must consider not only credit-risk guarantees but also liquidity and risk-transfer capacity for long-term FRMs. Private markets can support FRMs in normal times, but public or agency channels provide resilience when private securitization liquidity collapses.